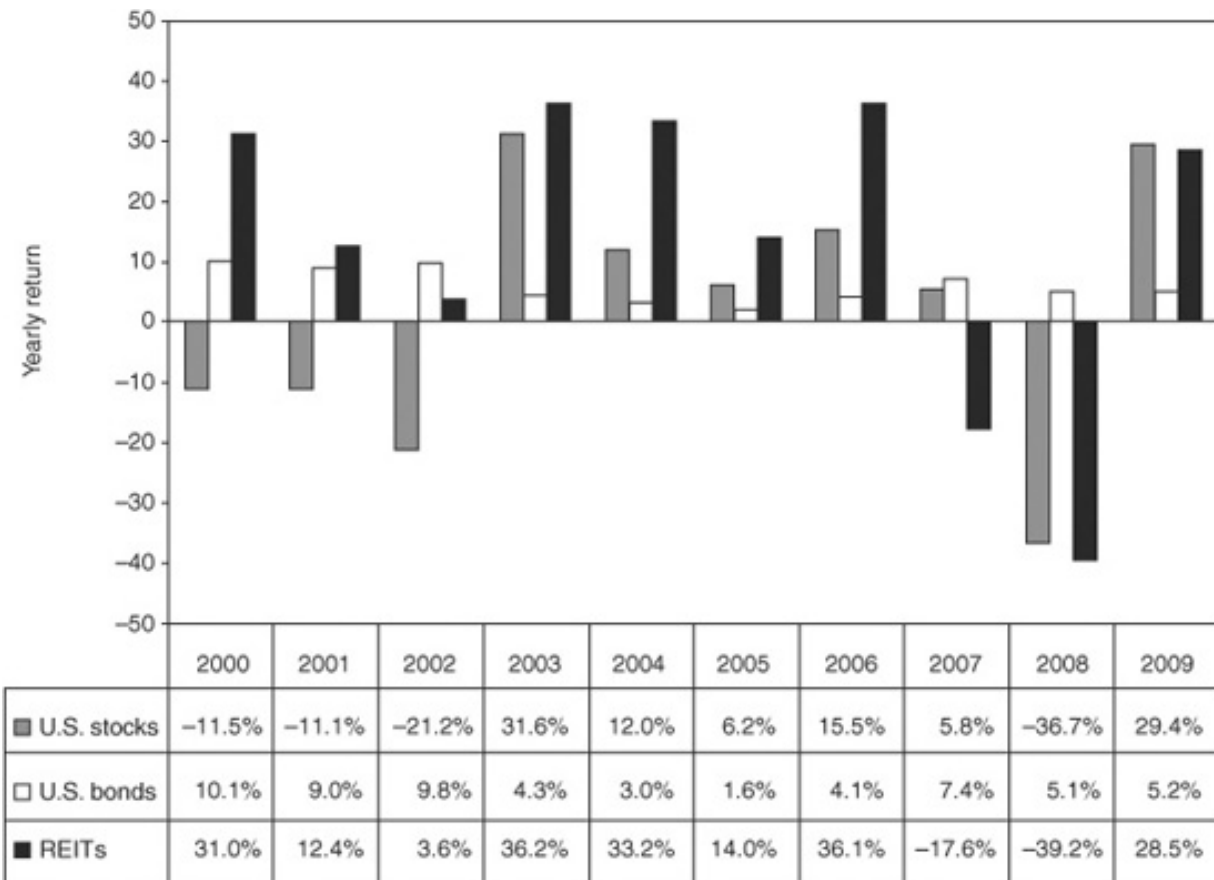




CORRELATION ANALYSIS

Prior to the tax law changes concerning REITs in 1992, the risk-and-return characteristics of REITs were very similar to those of stocks. The high correlation between REITs and domestic stocks indicated that overall market movements affected real estate investment trusts.

By the early 1990s, the market's perception of these securities began to shift. The REIT market was evolving, and investor understanding of the sector was increasing. In turn, shifts in the market began to alter the behavior patterns of this asset class. Over the next 10 years, correlations between REITs and the rest of the stock market declined and actually became negative for a brief period in 2001. The correlation shifted again, and REITs become highly correlated with U.S. equities by the end of the decade. [Figure 9-4](#) documents this phenomenon.

FIGURE 9-4